

Vertex Advisory Group · Chicago, IL 60604

Meridian Retail Holdings, Inc.
Attn: Ms. Elena Cho, Chief Operating Officer
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Your ref.: Our ref.:
MER-RFP-2026-118 VX/JR-2026-0417

Subject: Renewal and Expansion of Strategic Advisory Engagement — Project Northbridge

Dear Ms. Cho,

On behalf of everyone at Vertex Advisory Group, thank you for a productive first phase of Project Northbridge. Over the nine months since our engagement letter of October 2025, our joint team has completed the network footprint diagnostic, closed 340,000 square feet of underperforming floor space across the Pacific Northwest region, and renegotiated logistics contracts that reduced regional distribution costs by 14.2 percent against the fiscal year 2025 baseline. Your operations team, and in particular Mr. Owen Vasquez, was an exceptional partner throughout.

This letter confirms our proposal to renew the engagement and expand its scope for the twelve months beginning September 1, 2026, and sets out the commercial terms governing that work.

Recap of Phase I

Phase I concentrated on three deliverables agreed in the original statement of work: a store-level contribution analysis across all 612 Meridian locations, a distribution-network redesign for the western region, and an initial vendor-spend audit. All three were delivered on schedule. The store-level analysis identified 47 locations operating below contribution threshold, of which 21 have since been closed or converted to fulfillment-only format. The distribution redesign consolidated four regional warehouses into two, and the vendor audit surfaced \$2.1 million in near-term renegotiation opportunity, a portion of which is already reflected in the cost reduction noted above.